11. _____ is a decrease in the rate of inflation.

(a) Disinflation
(b) Deflation
(c) Stagflation
(d) Depression

12. Stagflation combines the rate of inflation with

(a) Stagnation
(b) employment
(c) output
(d) price

13. The study of alternating fluctuations in business activity is referred to in Economics as

(a) Boom
(b) Recession
(c) Recovery
(d) Trade cycle

14. During depression the level of economic activity becomes extremely

(a) high
(b) bad
(c) low
(d) good

15. "Money can be anything that is generally acceptable as a means of exchange and that thesame time acts as a measure and a store of value", This definition was given by

(a) Crowther
(b) A.C.Pigou
(c) F.A.Walker
(d) Francis Bacon

16. Debit card is an example of

(a) currency
(b) paper currency
(c) plastic money
(d) money

17. Fisher's Quantity Theory of money is based on the essential function of money as

(a) measure of value
(b5) store of value
(c) medium of exchange
(d) standard of deferred payment

18. V in MV = PT equation stands for

(a) Volume of trade
(b) Velocity of circulation of money
(c) Volume of transaction
(d) Volume of bank and credit money

19. When prices rise slowly, we call it

(a) galloping inflation
(b) mild inflation
(c) hyper inflation
(d) deflation

20. _____ inflation is in no way dangerous to the economy.

(a) walking
(b) running
(c) creeping
(d) galloping

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